

Chapter XIII

Prudential Regulations

107. Common Equity Tier 1

107.1 NBFCs shall maintain, on an on-going basis, Common Equity Tier 1 (CET1) capital of at least 9 percent of Risk Weighted assets, where,

$$\text{Common Equity Tier 1 (CET 1) ratio} = \frac{\text{Common Equity Tier 1 capital}}{\text{Total Risk Weighted Assets}}$$

107.2 Elements of Common Equity Tier 1 capital will comprise the following:

- (i) Paid-up equity share capital issued by the NBFC
- (ii) Share premium resulting from the issue of equity shares
- (iii) Capital reserves representing surplus arising out of sale proceeds of assets
- (iv) Statutory reserves
- (v) Revaluation reserves arising out of change in the carrying amount of an NBFC's property consequent upon its revaluation in accordance with the applicable accounting standards may, at the discretion of the NBFC, be reckoned as CET 1 capital at a discount of 55 percent, instead of as Tier 2 capital under extant regulations, subject to meeting the following conditions:
 - (a) the property is held for own use, by the NBFC;
 - (b) the NBFC is able to sell the property readily at its own will and there is no legal impediment in selling the property;
 - (c) the revaluation reserves are presented/disclosed separately in the financial statements of the NBFC;
 - (d) revaluations are realistic, in accordance with applicable accounting standards;
 - (e) valuations are obtained, from two independent valuers, at least once in every three years;
 - (f) where the value of the property has been substantially impaired by any event, these are to be immediately revalued and appropriately factored into capital adequacy computations; and
 - (g) the external auditors of the NBFC have not expressed a qualified opinion on the revaluation of the property.
- (vi) Other disclosed free reserves, if any.

Note: For Mortgage Guarantee Companies, free reserves include contingency reserves maintained as per paragraph 14(a) of the [Master Directions - Mortgage Guarantee Companies \(Reserve Bank\) Directions, 2016](#) dated November 10, 2016.

(vii) Balance in Statement of Profit & Loss Account after allocations and appropriations i.e., retained earnings at the end of the previous financial year. Accumulated losses shall be reduced from CET 1.

(viii) Profits in current financial year may be included on a quarterly basis if it has been audited or subject to limited review by the statutory auditors of the NBFC. Further, such profits shall be reduced by average dividend paid in the last three years and the amount which can be reckoned would be arrived at as under:

$$EP_t = NP_t - 0.25 * D * t$$

Where:

EP_t = Eligible profit up to quarter 't' of the current financial year, t varies from 1 to 4

NP_t = Net profit upto quarter 't'

D = average dividend paid during the last three years

Losses in the current year shall be fully deducted from CET 1.

(ix) The following regulatory adjustments/deductions shall be applied in the calculation of CET 1 capital [i.e. to be deducted from the sum of items (i) to (viii)]:

(a) Goodwill and other intangible assets:

(i) Goodwill and all other intangible assets should be deducted from CET 1 capital.

(ii) The full amount of the intangible assets is to be deducted net of any associated deferred tax liabilities which would be extinguished if the intangible assets become impaired or derecognized under the relevant accounting standards. For this purpose, the definition of intangible assets would be in accordance with the relevant accounting standards. Losses in the current period and those brought forward from previous periods should also be deducted from CET 1 capital, if not already deducted.

(b) Deferred Tax Assets (DTAs)

The following DTAs shall be deducted in full, from CET 1 capital –

(i) DTAs associated with accumulated losses

(ii) DTAs (excluding DTAs associated with accumulated losses) net of Deferred Tax Liabilities (DTL)

Note: Where the DTL is in excess of the DTA (excluding DTA associated with accumulated losses), the excess shall neither be adjusted against item (I) nor added to CET1 capital³⁴.

(c) Investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group³⁵ exceeding, in aggregate, ten percent of the owned fund of the NBFC.

Notes:

(i) The lower of acquisition cost or fair value of investments/advances shall be used to arrive at the amount of deduction mentioned above.

(ii) For the purpose of the above deduction, margin money placed with a subsidiary or company in the same group shall be considered as deposits.

(d) Impairment Reserve³⁶ shall be not be recognised in CET 1 capital.

(e) Deductions/exclusions, required on unrealised gains and/or losses from regulatory capital in terms of clauses (i) to (iv) of [paragraph 3.1](#) of [Annex II](#) shall be reduced from CET1 capital.

(f) Securitisation Transactions: NBFCs shall be guided by '[Master Direction - Reserve Bank of India \(Securitisation of Standard Assets\) Directions, 2021](#)' dated September 24, 2021, as amended from time to time in this regard.

(g) Defined Benefit Pension Fund Assets and Liabilities: Defined benefit pension fund liabilities, as included on the balance sheet, must be fully recognised in the calculation of CET 1 capital (i.e., CET 1 capital cannot be increased through derecognising these liabilities). For each defined benefit pension fund that is an asset on the balance sheet, the asset should be deducted in the calculation of CET 1.

(h) Investments in Own Shares (Treasury Stock): Investment in an NBFC's own shares is tantamount to repayment of capital and therefore, such investments, whether held

³⁴ DTAs may be netted with associated DTLs only if the DTAs and DTLs relate to taxes levied by the same taxation authority and offsetting is permitted by the relevant taxation authority. The DTLs permitted to be netted against DTAs must exclude amounts that have been netted against the deduction of goodwill, intangibles and defined benefit pension assets.

³⁵ "Companies in the group", shall mean an arrangement involving two or more entities related to each other through any of the following relationships: Subsidiary – parent, Joint venture, Associate, Promoter-promotee (as provided in the SEBI (Acquisition of Shares and Takeover) Regulations, 1997) for listed companies, a related party, Common brand name, and investment in equity shares of 20 percent and above. The terms parent, subsidiary, joint venture, associate and related party shall be as defined/ described in applicable accounting standards.

³⁶ Please refer to paragraph 2(b) of [Annex](#) to circular no. [DOR\(NBFC\).CC.PD.No.109/22.10.106/2019-20](#) dated March 13, 2020 on Implementation of Indian Accounting Standards, for guidelines on Impairment Reserve.

directly³⁷ or indirectly, shall be deducted from CET 1 capital. This deduction would remove the double counting of equity capital which arises from direct holdings, indirect holdings via index funds and potential future holdings as a result of contractual obligations to purchase own shares.

107.3 The total Risk Weighted Assets (RWAs) to be used in the computation of CET 1 ratio shall be the same as the total RWAs computed under these Directions.

108. Differential standard asset provisioning

108.1 NBFCs shall maintain provisions in respect of 'standard' assets at the following rates for the funded amount outstanding:

Category of Assets	Rate of Provision
Individual housing loans and loans to Small and Micro Enterprises (SMEs)	0.25%
Housing loans extended at teaser rates	2.00% which will decrease to 0.40% after 1 year from the date on which the rates are reset at higher rates (if the accounts remain 'standard')
Advances to Commercial Real Estate – Residential Housing (CRE - RH) Sector	0.75%
Advances to Commercial Real Estate (CRE) Sector (other than CRE-RH)	1.00%
Restructured advances	As stipulated in the applicable prudential norms for restructuring of advances
All other loans and advances not included above, including loans to Medium Enterprises	0.40%

108.2 Current credit exposures arising on account of the permitted derivative transactions shall also attract provisioning requirement as applicable to the loan assets in the 'standard' category, of the concerned counterparties. All conditions applicable for

³⁷ It may be noted that section 67 of the Companies Act, 2013 restricts the purchase by a company or giving loans by it for purchase of its shares.

treatment of the provisions for standard assets would also apply to the aforesaid provisions for permitted derivative transactions.

108.3 Since NBFCs with net worth of ₹250 crore or above are required to comply with Indian Accounting Standards (Ind AS) for the preparation of their financial statements, they shall continue to hold impairment allowances as required under Ind AS, subject to the prudential floor as prescribed under [paragraph 2](#) of the [Annex II](#) of these Directions. The above-mentioned provisions shall, however, be included in the computation of the prudential floor, but shall not be reckoned for calculating net NPAs.

108.4 For the purpose of these instructions, the following definitions/ clarifications shall apply:

108.4.1 The definition of the terms Micro Enterprises, Small Enterprises, and Medium Enterprises shall be as per the circular on [‘Credit flow to Micro, Small and Medium Enterprises Sector’](#) dated July 2, 2020 as updated from time to time.

108.4.2 Commercial Real Estate (CRE) would consist of loans to builders/ developers/ others for creation/ acquisition of commercial real estate (such as office building, retail space, multi-purpose commercial premises, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction etc.) where the prospects for repayment, or recovery in case of default, would depend primarily on the cash flows generated by the asset by way of lease/rental payments, sale etc. Further, loans for third dwelling unit onwards to an individual will be treated as CRE exposure.

108.4.3 Commercial Real Estate – Residential Housing (CRE–RH) is a sub-category of CRE that consist of loans to builders/ developers for residential housing projects (except for captive consumption). Such projects should ordinarily not include non-residential commercial real estate. However integrated housing project comprising of some commercial spaces (e.g., shopping complex, school etc.) can also be specified under CRE-RH, provided that the commercial area in the residential housing project does not exceed 10 percent of the total Floor Space Index (FSI) of the project. In case the FSI of the commercial area in the predominantly residential housing complex exceed the ceiling of 10 percent, the entire loan should be classified as CRE and not CRE-RH.

108.4.4 Housing loans extended at teaser rates shall mean housing loans having comparatively lower rates of interest in the first few years after which the rates of interest are reset at higher rates.

108.4.5 Current credit exposure is defined as the sum of the gross positive mark-to-market value of all derivative contracts with respect to a single counterparty, without adjusting against any negative marked-to-market values of contracts with the same counterparty.

109. Disclosures in Financial Statements - Notes to Accounts of NBFCs

NBFCs shall comply with the disclosure requirements prescribed in **Section III** of [Annex VII](#).